TOLL BROTHERS, INC. (TOL)

TOL Final: One of the Best Houses in the Neighborhood

February 18, 2026

Rating:
Outperform
Price:
$160.00
Price Target:
$184
Prior: $170
% Upside:
15.0%

View TOL Model
View Comp Table

Company Information

52-Week Range	$91 - $166
Market Cap. (MM)	$15,160
Enterprise Value (MM)	$16,970
Shares Out. (MM)	94.7
Avg. Value Traded (MM)	$349.26
Adj. Debt to Cap	14.2%
SI% of Float	4.0%
Price to Earnings	12x
Price/ Tangible Value	1.7x

Price Performance

	YTD	LTM
TOL	18%	29%
S&P 500	1%	13%

Priced as of 02/18/26

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The Wolfe Byte

Our estimates move slightly higher post-quarter, a positive outcome relative to recently reporting peers. We continue expecting better fundamental stability for TOL near-term while we see upside to 2026 Closings guidance.

TOL reported solid F1Q results with adjusted EPS coming in 2% above our estimate and 11% above consensus while management reiterated its prior full year guide. We view the results and outlook favorably as our 2026 EPS estimate increases +2% following material estimate reductions for recently reporting builders. TOL's equity modestly underperformed the group, declining -2.1% versus our homebuilder coverage's -80 bp contraction, with investor expectations clearly elevated for TOL relative to peers. We highlighted positioning as a risk to equity performance ahead of the print, particularly with the equity increasing +7.6% and outperforming the group by 310 bps since we published our preview note on 2/10. **With guidance left unchanged, we believe the company's 2026 outlook is increasingly achievable and we now model Closings above the high end of management's full year guided range.** While the F2Q Adjusted GM guide at 25.5% was slightly below the 25.9% Consensus, the guide is impacted by a temporary shift in geographic Closings mix that does little to alter the constructive investment thesis while the GM guidance shortfall versus Consensus was modest relative to peers. **Importantly, TOL historically outperforms its GM guide (13 consecutive quarters), implying upside to the company's F2Q GM goal with full year Gross Margin estimates likely remaining stable.**

We acknowledge TOL is approaching the upper bound of its historical valuation range, although we believe improved returns warrant a better multiple, all else equal. We continue expecting TOL posts the third highest ROA among the group in 2026 behind NVR and PHM (8.8% ROA vs group 5.7% ex NVR) while the equity still trades at a discount to Large-Cap peers. Although TOL has historically traded at a discount to our Large-Cap coverage, the company is generating better returns than it did historically (2026E ROA 8.8% vs 2015-2019 average 5.4%) while Large-Caps DHI and LEN are earning returns below their pre-COVID averages.

DILUTED EPS ($) — **OCTOBER FYE**

	Q1	Q2	Q3	Q4	FY
2026E	2.19 A	2.64 E	3.38 E	5.35 E	13.50 E
Prior	*2.24 E*	*2.40 E*	*3.50 E*	*5.20 E*	*13.28 E*
2027E	2.43 E	3.48 E	4.02 E	6.36 E	16.22 E
Prior	*2.35 E*	*3.05 E*	*4.39 E*	*6.49 E*	*16.19 E*

Source: Company Documents, Wolfe Research, FactSet
Numbers may not add up due to rounding

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Investment Conclusion

Year-to-date, TOL's equity has increased +18.3% underperforming the Homebuilder group's +19.3% increase but outperforming the +0.5% S&P advance. In 2025, TOL's equity gained +7.4% outperforming the group's -12.6% contraction but underperforming the S&P's +16.4%. TOL's equity currently trades at $160.00 compared to a YTD high of $166.12 and low of $134.80.

The equity currently trades at 11.9X our '26 EPS estimate, above the company's trailing 1-year average of 9.6X, 3-year average of 7.4X, 5-year average of 7.2X and the 10-year average of 8.8X. The equity trades at 1.7X our '26 BV estimate, compared to the 1-year 1.5X average, 3-year 1.3X average, 5-year 1.3X average, and 10-year 1.2X average. As long as TOL continues demonstrating that its Margin profile, and hence, returns profile, has moved structurally higher versus pre-COVID levels, we believe the equity should trade above its long-term average valuation of ~1.4X. Our $184 price target implies TOL trades at 1.9X our 2026 Book Value estimate, above its average historical high multiple of 1.75X.

Page 1 Text Continued

With incentives remaining flat the last three quarters and the company's longer construction cycle providing GM visibility**, we see less risk to our Gross Margin estimate near-term and reiterate our Outperform rating. We push our price target to $184 from $170.**

TOL's consumer base remains a clear advantage relative to peers in the current environment, highlighted by a flat incentive environment for the third straight quarter while entry-level incentives have accelerated in recent quarters. Similarly, TOL's lower exposure to troubled Texas and Florida markets and outsized exposure to the NE and Mid-Atlantic that are not suffering from a COVID housing hangover continue supporting fundamentals. **While we expect geographic performance to eventually even out as the south heals over time, we expect the current consumer segment and geographic advantages to persist near-term.** 1Q did see some profitably headwinds from aged Spec liquation, yet we sense management is focused on selling WIP Spec earlier in the construction process moving forward, allowing for sell-through of high margin design center upgrades. If successful, the endeavor would be margin accretive for 4Q26 Closings, carrying into 2027 and helping to alleviate MSD lot cost inflation appreciating other costs have flattened.

Estimate Revisions

Our 2026 EPS estimate increases ~2% to $13.50 from our prior $13.28 forecast. We now estimate that '26 Homebuilding Revenue declines 60 bps to $10.8B compared to our prior expectation for a -3% contraction. Our revised Closing estimate is 10,790 or down 4% compared to our prior 10,690 estimate (-5%). Our Operating Margin forecast is 14.6% (-170 bps YoY) versus our prior 14.9% forecast. Our GM forecast is unchanged at 25.1% (26.2% adjusted), while our SG&A forecast moves 10 bps higher to 10.2% versus our prior 10.1%. We forecast Order Units increase 11%, which is down from our prior 15% growth estimate. **Our 2027 EPS estimate of $16.22 is predicated on a 13% Homebuilding Revenue growth, a 24.9% GM, 9.4% SG&A ratio and 15.3% Op Margin.** We forecast 2027 Order Units increase +11% YoY.

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Exhibit 1 - TOL Income Statement

TOLL BROTHERS INC.
INCOME STATEMENT 2014 - 2027E
(Dollars in Millions, Except per Share Data)

Fiscal Year Ending October	#	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	% Change	2027E	% Change
Revenues:																	
Home sales		$3,912	$4,171	$5,170	$5,815	$7,143	$7,080	$6,937	$8,432	$9,711	$9,866	$10,563	$10,842	$10,778	(0.6%)	$12,186	13.1%
Land sales		$0	$0	$0	$0	$0	$144	$140	$359	$564	$129	$283	$125	$398	219.4%	$147	(63.0%)
Total Revenues		**$3,912**	**$4,171**	**$5,170**	**$5,815**	**$7,143**	**$7,224**	**$7,078**	**$8,790**	**$10,276**	**$9,995**	**$10,847**	**$10,967**	**$11,176**	**1.9%**	**$12,333**	**10.4%**
Costs and Expenses:																	
Home sales		$2,924	$3,091	$3,970	$4,375	$5,311	$5,307	$5,304	$6,325	$7,040	$7,037	$7,565	$7,886	$7,955	0.9%	$9,017	13.3%
Land sales		$0	$0	$0	$0	$0	$130	$126	$309	$552	$140	$71	$143	$377	164.2%	$140	(62.9%)
Amortized Interest to COGS		$137	$143	$160	$173	$191	$185	$174	$187	$165	$139	$129	$118	$118	0.1%	$134	13.4%
Interest expense		$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	NA	$0	NA
Gross Profit		$850	$938	$1,039	$1,268	$1,642	$1,602	$1,474	$1,969	$2,519	$2,678	$3,082	$2,820	$2,725	(3.4%)	$3,042	11.6%
SG&A expense		$433	$455	$535	$606	$820	$879	$867	$922	$978	$909	$982	$1,034	$1,095	6.0%	$1,150	5.0%
Operating Profit		**$418**	**$483**	**$504**	**$662**	**$821**	**$723**	**$606**	**$1,047**	**$1,541**	**$1,768**	**$2,100**	**$1,787**	**$1,630**	**(8.8%)**	**$1,892**	**16.1%**
Equity earnings in unconsol. entities		$41	$21	$41	$116	$85	$25	$1	$74	$24	$50	($24)	$19	$45	138.5%	$60	32.0%
Interest and other		$66	$68	$58	$51	$62	$82	$36	$40	$171	$68	$69	$52	$64	23.9%	$60	(6.4%)
Pretax income before charges		**$525**	**$571**	**$603**	**$829**	**$969**	**$830**	**$643**	**$1,161**	**$1,736**	**$1,886**	**$2,145**	**$1,857**	**$1,739**	**(6.3%)**	**$2,012**	**15.7%**
Debt Retirement Loss (Gain)		$0	$0	$0	$0	$0	$0	$0	$34	$0	$0	$0	$0	$0	NA	$0	NA
Extraordinary Charges (Gains)		$21	$36	$14	$15	$35	$42	$56	$27	$33	$44	$59	$66	$12	(82.3%)	$0	NA
Pretax income		**$505**	**$536**	**$589**	**$814**	**$934**	**$787**	**$587**	**$1,100**	**$1,704**	**$1,842**	**$2,086**	**$1,791**	**$1,728**	**(3.6%)**	**$2,012**	**16.5%**
Taxes		$165	$172	$207	$279	$186	$197	$140	$267	$417	$470	$514	$445	$441	(0.9%)	$514	16.7%
Tax rate		32.6%	32.2%	35.1%	34.2%	19.9%	25.0%	23.9%	24.2%	24.5%	25.5%	24.7%	24.8%	25.5%		25.6%	
Interest Conversion Addback		0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.2%	0.2%	0.2%	0.1%	0.2%	$0		$0	
Net Income		**$340**	**$363**	**$382**	**$535**	**$748**	**$590**	**$447**	**$834**	**$1,286**	**$1,372**	**$1,571**	**$1,346**	**$1,287**	**(4.4%)**	**$1,498**	**16.4%**
Average diluted shares (thsds.)		186	185	176	169	154	147	131	126	118	111	105	100	95	(4.4%)	92	(3.2%)
EPS	**1Q:**	$0.25	$0.44	$0.40	$0.41	$0.83	$0.76	$0.41	$0.76	$1.24	$1.70	$2.25	$1.75	$2.19	25.3%	$2.43	11.3%
	2Q:	$0.35	$0.37	$0.50	$0.73	$0.72	$0.87	$0.59	$1.01	$1.85	$2.85	$4.55	$3.50	$2.64	(24.8%)	$3.48	31.9%
	3Q:	$0.52	$0.36	$0.61	$0.87	$1.26	$1.00	$0.90	$1.87	$2.35	$3.73	$3.60	$3.73	$3.38	(9.4%)	$4.02	19.0%
	4Q:	$0.71	$0.80	$0.67	$1.17	$2.08	$1.41	$1.55	$3.02	$5.63	$4.11	$4.63	$4.58	$5.35	16.9%	$6.36	18.8%
EPS	**FY:**	**$1.83**	**$1.97**	**$2.17**	**$3.16**	**$4.85**	**$4.03**	**$3.40**	**$6.63**	**$10.90**	**$12.36**	**$15.01**	**$13.49**	**$13.50**	**0.0%**	**$16.22**	**20.2%**
SEGMENT SALES																	
Home sales		$3,912	$4,171	$5,170	$5,815	$7,143	$7,080	$6,937	$8,432	$9,711	$9,866	$10,563	$10,842	$10,778	(0.6%)	$12,186	13.1%
Land Sales		$0	$0	$0	$0	$0	$144	$140	$359	$564	$129	$283	$125	$398	219.4%	$147	(63.0%)
HOMEBUILDING MARGIN PERFORMANCE AS % OF REVENUES:																	
Home Gross Margin, Reported (incl. Cap. Int)		**21.7%**	**22.5%**	**20.1%**	**21.8%**	**23.0%**	**22.4%**	**21.0%**	**22.8%**	**25.8%**	**27.3%**	**27.2%**	**26.2%**	**25.1%**	**(108)**	**24.9%**	**(19)**
SG&A Expense		11.1%	10.9%	10.4%	10.4%	11.5%	12.4%	12.5%	10.9%	10.1%	9.2%	9.3%	9.5%	10.2%	63	9.4%	(72)
Interest Costs (Amortized & Expensed)		3.5%	3.4%	3.1%	3.0%	2.7%	2.6%	2.5%	2.1%	1.6%	1.4%	1.2%	1.1%	1.1%	(2)	1.1%	3
Operating margin		**10.7%**	**11.6%**	**9.7%**	**11.4%**	**11.5%**	**10.0%**	**8.6%**	**11.9%**	**15.0%**	**17.7%**	**19.4%**	**16.3%**	**14.6%**	**(171)**	**15.3%**	**76**
Total Company Margin Performance																	
Pretax margin		13.4%	13.7%	11.7%	14.3%	13.6%	11.5%	9.1%	13.2%	16.9%	18.9%	19.8%	16.9%	15.6%	(137)	16.3%	75
Net margin		**8.7%**	**8.7%**	**7.4%**	**9.2%**	**10.5%**	**8.2%**	**6.3%**	**9.5%**	**12.5%**	**13.7%**	**14.5%**	**12.3%**	**11.5%**	**(76)**	**12.1%**	**63**
OPERATIONAL DATA:																	
Closings Units		**5,397**	**5,525**	**6,098**	**7,151**	**8,265**	**8,107**	**8,496**	**9,986**	**10,515**	**9,597**	**10,813**	**11,292**	**10,790**	**(4.4%)**	**11,845**	**9.8%**
y/y % Chg		29.0%	2.4%	10.4%	17.3%	15.6%	(1.9%)	4.8%	17.5%	5.3%	(8.7%)	12.7%	4.4%	(4.4%)		9.8%	
Average Selling Price Per Unit		$724.7	$755.0	$847.8	$813.2	$864.3	$873.4	$816.5	$844.4	$923.5	$1,028.0	$976.9	$960.2	$998.9	4.0%	$1,028.7	3.0%
y/y % Chg		13.4%	4.2%	12.3%	(4.1%)	6.3%	1.1%	(6.5%)	3.4%	9.4%	11.3%	(5.0%)	(1.7%)	4.0%		3.0%	
Closings Dollars ($M)		**$3,911**	**$4,171**	**$5,170**	**$5,815**	**$7,143**	**$7,080**	**$6,937**	**$8,432**	**$9,711**	**$9,866**	**$10,563**	**$10,842**	**$10,778**	**(0.6%)**	**$12,186**	**13.1%**
Conversion Rate		34.0%	34.2%	33.1%	32.3%	31.5%	32.0%	32.2%	26.7%	23.8%	31.3%	39.9%	47.3%	50.0%	267	50.5%	47
Orders Units		**5,271**	**5,910**	**6,719**	**8,175**	**8,519**	**8,075**	**9,932**	**12,472**	**8,255**	**8,077**	**10,231**	**9,943**	**11,061**	**11.2%**	**12,228**	**10.6%**
y/y % Chg		(0.4%)	12.1%	13.7%	21.7%	4.2%	(5.2%)	23.0%	25.6%	(33.8%)	(2.2%)	26.7%	(2.8%)	11.2%		10.6%	
Average Selling Price Per Unit		$739.1	$838.5	$840.8	$835.3	$892.6	$831.1	$805.0	$925.3	$1,098.4	$979.1	$984.5	$990.6	$1,035.6	4.5%	$1,052.1	1.6%
y/y % Chg		7.7%	13.4%	0.3%	(0.7%)	6.9%	(6.9%)	(3.1%)	14.9%	18.7%	(10.9%)	0.6%	0.6%	4.5%		1.6%	
Order Dollars ($M)		**$3,896**	**$4,956**	**$5,650**	**$6,828**	**$7,604**	**$6,711**	**$7,995**	**$11,540**	**$9,067**	**$7,908**	**$10,073**	**$9,850**	**$11,455**	**16.3%**	**$12,866**	**12.3%**
Community Count Change y/y% (Yearly Avg)		11.2%	7.2%	10.6%	4.8%	-4.8%	7.5%	0.9%	-0.9%	4.0%	4.4%	13.1%	7.5%	9.6%	208	10.0%	40
Absorptions (monthly)		1.7	1.8	1.9	2.2	2.4	2.1	2.6	3.2	2.1	1.9	2.2	2.0	2.0	1.5%	2.0	0.5%
Backlog Units		**3,679**	**4,064**	**4,685**	**5,851**	**6,105**	**6,266**	**7,791**	**10,302**	**8,098**	**6,578**	**5,996**	**4,647**	**4,918**	**5.8%**	**5,301**	**7.8%**
y/y % Chg		0.0%	10.5%	15.3%	24.9%	4.3%	2.6%	24.3%	32.2%	(21.4%)	(18.8%)	(8.8%)	(22.5%)	5.8%		7.8%	
Average Selling Price Per Unit		$739.2	$862.2	$859.1	$865.1	$904.6	$839.0	$818.2	$922.1	$1,095.8	$1,055.8	$1,078.7	$1,182.4	$1,255.6	6.2%	$1,293.2	3.0%
y/y % Chg		3.4%	16.6%	(0.4%)	0.7%	4.6%	(7.3%)	(2.5%)	12.7%	18.8%	(3.7%)	2.2%	9.6%	6.2%		3.0%	
Backlog Dollars ($M)		**$2,720**	**$3,504**	**$4,025**	**$5,062**	**$5,523**	**$5,257**	**$6,375**	**$9,499**	**$8,874**	**$6,945**	**$6,468**	**$5,494**	**$6,175**	**12.4%**	**$6,855**	**11.0%**
Total Financial Metrics:																	
Gross Margin (Home & Land, excl Cap Int)		25.3%	25.9%	23.2%	24.8%	25.7%	24.7%	23.3%	24.5%	26.1%	28.2%	29.6%	26.8%	25.4%	(135)	25.8%	31
Home Gross Margin (excl. Cap. Int)		25.3%	25.9%	23.2%	24.8%	25.7%	25.0%	23.5%	25.0%	27.5%	28.7%	28.4%	27.3%	26.2%	(108)	26.0%	(19)
Gross margin - Land Sales		NA	NA	NA	NA	NA	$0	$0	$0	$0	($0)	$1	($0)	$0	1984	$0	(20)

Source: Wolfe Research, Company Reports

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Exhibit 2 - TOL Quarterly Income Statement

TOLL BROTHERS INC.
QUARTERLY INCOME STATEMENT, 2025-2026E
(Dollars in Millions, except Per Share Data)

Fiscal Year Ending October	1Q25	1Q26	% Change	2Q25	2Q26E	% Change	3Q25	3Q26E	% Change	4Q25	4Q26E	% Change	FY2025	FY2026E	% Change
Revenues:															
Home sales	$1,841	$1,855	0.8%	$2,706	$2,448	(9.6%)	$2,881	$2,709	(6.0%)	$3,414	$3,766	10.3%	$10,842	$10,778	(0.6%)
Land sales	$18	$291	1483.4%	$33	$34	5.0%	$64	$35	(45.0%)	$9	$38	300.0%	$125	$398	219.4%
Total revenues	**$1,859**	**$2,146**	**15.4%**	**$2,739**	**$2,482**	**(9.4%)**	**$2,945**	**$2,745**	**(6.8%)**	**$3,423**	**$3,804**	**11.1%**	**$10,967**	**$11,176**	**1.9%**
Costs and expenses:															
Home sales	$1,345	$1,364	1.4%	$1,962	$1,817	(7.4%)	$2,089	$2,002	(4.2%)	$2,489	$2,772	11.3%	$7,886	$7,955	0.9%
Land sales	$18	$273	1408.7%	$31	$33	5.7%	$61	$34	(43.9%)	$32	$36	13.0%	$143	$377	164.2%
Interest expense (Capitalized & Expensed)	$20	$20	0.0%	$30	$27	(11.2%)	$30	$30	(1.2%)	$38	$41	10.4%	$118	$118	0.1%
Gross Profit	**$476**	**$489**	**2.7%**	**$715**	**$604**	**(15.5%)**	**$765**	**$678**	**(11.3%)**	**$864**	**$954**	**10.4%**	**$2,820**	**$2,725**	**(3.4%)**
SG&A	$240	$258	7.3%	$256	$262	2.5%	$254	$269	6.0%	$284	$306	8.0%	$1,034	$1,095	6.0%
Operating Profit	**$236**	**$231**	**(2.0%)**	**$459**	**$342**	**(25.5%)**	**$511**	**$410**	**(19.9%)**	**$580**	**$647**	**11.5%**	**$1,787**	**$1,630**	**(8.8%)**
Equity earnings in unconsol. entities	($9)	$35	NA	$11	($10)	NA	($1)	$10	NA	$17	$10	(42.3%)	$19	$45	138.5%
Interest and Other	$11	$19	73.5%	$16	$10	(38.8%)	$13	$15	17.3%	$12	$20	72.7%	$52	$64	23.9%
Pretax income before charges	**$238**	**$285**	**20.0%**	**$487**	**$342**	**(29.8%)**	**$523**	**$435**	**(16.9%)**	**$609**	**$677**	**11.2%**	**$1,857**	**$1,739**	**(6.3%)**
Debt Retirement Loss (Gain)	$0	$0	NA	$0.00	$0.00	NA	$0	$0	NA	$0	$0	NA	$0	$0	NA
Extraordinary Charges (Gains)	$16	$12	(28.9%)	$10	$0	NA	$23	$0	NA	$16	$0	NA	$66	$12	(82.3%)
Pretax income	**$221**	**$274**	**23.6%**	**$478**	**$342**	**(28.3%)**	**$500**	**$435**	**(13.0%)**	**$593**	**$677**	**14.2%**	**$1,791**	**$1,728**	**(3.6%)**
Taxes	$44	$63	43.4%	$125	$89	(28.9%)	$130	$113	(13.0%)	$146	$176	20.4%	$445	$441	(0.9%)
Tax Rate	19.7%	22.9%	16.1%	26.2%	26.0%	(0.7%)	26.0%	26.0%	(0.0%)	24.7%	26.0%	5.4%	24.8%	25.5%	2.7%
Interest Converstion Addback	$0	$0	0.0%	$0	$0	0.0%	$0	$0	NA	$0	$0	NA	$0	$0	200.0%
Net Income	**$178**	**$211**	**18.7%**	**$352**	**$253**	**(28.2%)**	**$370**	**$322**	**(13.0%)**	**$447**	**$501**	**12.2%**	**$1,346**	**$1,287**	**(4.4%)**
Average Shares (Mil.)	102	97	(5.2%)	101	96	(4.5%)	99	95	(4.0%)	98	94	(4.0%)	100	95	(4.4%)
EPS	**$1.75**	**$2.19**	**25.3%**	**$3.50**	**$2.64**	**(24.8%)**	**$3.73**	**$3.38**	**(9.4%)**	**$4.58**	**$5.35**	**16.9%**	**$13.49**	**$13.50**	**0.0%**
Homebuilding Margin Performance															
Revenue Growth	(4.6%)	15.4%	1,996	(3.5%)	(9.4%)	(593)	8.0%	(6.8%)	(1,477)	2.7%	11.1%	841	1.1%	1.9%	80
Home Gross Margin, Rprtd (incl. Cap. Int)	**25.8%**	**25.4%**	**(44)**	**26.4%**	**24.7%**	**(173)**	**26.4%**	**25.0%**	**(143)**	**26.0%**	**25.3%**	**(68)**	**26.2%**	**25.1%**	**(108)**
SG&A Ratio	13.1%	13.9%	84	9.5%	10.7%	126	8.8%	9.9%	112	8.3%	8.1%	(17)	9.5%	10.2%	63
Interest Cost (Amortized and Expensed)	1.1%	0.9%	(14)	1.1%	1.1%	(2)	1.0%	1.1%	6	1.1%	1.1%	(1)	1.1%	1.1%	(2)
Operating Margin	**12.7%**	**10.8%**	(192)	**16.8%**	**13.8%**	(299)	**17.4%**	**14.9%**	(243)	**17.0%**	**17.0%**	7	**16.3%**	**14.6%**	(171)
Pretax Margin	12.8%	13.3%	50	17.8%	13.8%	(400)	17.8%	15.8%	(192)	17.8%	17.8%	1	16.9%	15.6%	(137)
Net Margin	**9.6%**	**9.8%**	**27**	**12.9%**	**10.2%**	**(266)**	**12.6%**	**11.7%**	**(84)**	**13.0%**	**13.2%**	**13**	**12.3%**	**11.5%**	**(76)**
OPERATIONAL DATA:															
Closings:															
Units	**1,991**	**1,899**	**(4.6%)**	**2,899**	**2,482**	**(14.4%)**	**2,959**	**2,747**	**(7.2%)**	**3,443**	**3,662**	**6.4%**	**11,292**	**10,790**	**(4.4%)**
y/y % Chg	3.3%	(4.6%)	(794)	9.8%	(14.4%)	(2,415)	5.2%	(7.2%)	(1,231)	0.3%	6.4%	601	4.4%	(4.4%)	(887)
Average Selling Price Per Unit	$924.5	$976.8	5.7%	$933.6	$986.1	5.6%	$973.6	$986.2	1.3%	$991.6	$1,028.5	3.7%	$960.2	$998.9	4.0%
y/y % Chg	(7.8%)	5.7%	1,344	(6.9%)	5.6%	1,248	0.6%	1.3%	73	4.4%	3.7%	(64)	(1.7%)	4.0%	574
Closings Dollars ($M)	**$1,841**	**$1,855**	**0.8%**	**$2,707**	**$2,448**	**(9.6%)**	**$2,881**	**$2,709**	**(6.0%)**	**$3,414**	**$3,766**	**10.3%**	**$10,842**	**$10,778**	**(0.6%)**
Conversion Rate	33.2%	40.9%	766	45.9%	49.1%	321	48.8%	47.9%	(89)	62.7%	62.2%	(45)	47.3%	50.0%	267
Orders:															
Units	**2,307**	**2,303**	**(0.2%)**	**2,650**	**3,165**	**19.4%**	**2,388**	**2,897**	**21.3%**	**2,598**	**2,696**	**3.8%**	**9,943**	**11,061**	**11.2%**
y/y % Chg	13.0%	(0.2%)	(1,315)	(12.9%)	19.4%	3,230	(4.1%)	21.3%	2,539	(2.3%)	3.8%	603	(2.8%)	11.2%	1,406
Average Selling Price Per Unit	$1,000.1	$1,033.1	3.3%	$982.8	$1,035.8	5.4%	$1,010.1	$1,043.3	3.3%	$972.4	$1,029.3	5.8%	$990.6	$1,035.6	4.5%
y/y % Chg	(1.1%)	3.3%	440	1.6%	5.4%	378	4.5%	3.3%	(118)	(2.8%)	5.8%	866	0.6%	4.5%	392
Order Dollars ($M)	**$2,307**	**$2,379**	**3.1%**	**$2,604**	**$3,279**	**25.9%**	**$2,412**	**$3,022**	**25.3%**	**$2,526**	**$2,775**	**9.8%**	**$9,850**	**$11,455**	**16.3%**
Community Count Change y/y% (Qtr. End)	7.7%	9.6%	0	9.1%	8.1%	0	4.0%	11.9%	0	9.3%	8.7%	0	9.3%	8.7%	**0**
Absorptions (monthly)	1.9	1.7		2.1	2.3		1.9	2.1		1.9	1.9		2.0	2.0	
Backlog:															
Units	**6,312**	**5,051**	**(20.0%)**	**6,063**	**5,734**	**(5.4%)**	**5,492**	**5,884**	**7.1%**	**4,647**	**4,918**	**5.8%**	**4,647**	**4,918**	**5.8%**
y/y % Chg	(5.7%)	(20.0%)	(1,429)	(14.5%)	(5.4%)	910	(18.9%)	7.1%	2,599	(22.5%)	5.8%	2,832	(22.5%)	5.8%	2,832
Average Selling Price Per Unit	$1,099.2	$1,192.3	8.5%	$1,128.1	$1,195.2	5.9%	$1,161.0	$1,218.0	4.9%	$1,182.4	$1,255.6	6.2%	$1,182.4	$1,255.6	6.2%
y/y % Chg	3.9%	8.5%	457	8.4%	5.9%	(250)	11.2%	4.9%	(630)	9.6%	6.2%	(341)	9.6%	6.2%	(341)
Backlog Dollars ($M)	**$6,938**	**$6,022**	**(13.2%)**	**$6,839**	**$6,853**	**0.2%**	**$6,376**	**$7,166**	**12.4%**	**$5,494**	**$6,175**	**12.4%**	**$5,494**	**$6,175**	**12.4%**
Other Financial Metrics:															
Gross Margin (Home and Land, Exc Cap Int)	26.7%	23.7%	(297)	27.2%	25.4%	(178)	27.0%	25.8%	(119)	26.3%	26.2%	(17)	26.8%	25.4%	(135)
Home Gross Margin (excl. Cap. Int)	26.9%	26.5%	(45)	27.5%	25.8%	(175)	27.5%	26.1%	(138)	27.1%	26.4%	(68)	27.3%	26.2%	(108)

Source: Wolfe Research, Company Reports

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Exhibit 3 - TOL Valuation History

TOLL BROTHERS INC. VALUATION HISTORY

Fiscal Year Ending Oct	Price Range HI	Price Range LO	Per Share Data EPS	Per Share Data BV	Per Share Data Sales	Per Share Data Net Debt	P/E Range (X) HI	P/E Range (X) LO	P/TBV Range (X) HI	P/TBV Range (X) LO	EV/EBITDA Range (X) HI	EV/EBITDA Range (X) LO	EV/Sales Range (X) HI	EV/Sales Range (X) LO
1995	$4.81	$2.31	$0.35	$1.91	$643	$256	13.8	6.6	2.52	1.21	9.4	5.9	1.49	0.92
1996	$5.75	$3.75	$0.38	$2.32	$759	$320	15.3	10.0	2.48	1.62	10.4	7.8	1.54	1.15
1997	$6.38	$4.22	$0.47	$2.81	$968	$365	13.7	9.1	2.27	1.50	9.5	7.2	1.36	1.03
1998	$7.81	$4.73	$0.56	$3.56	$1,206	$373	14.1	8.5	2.20	1.33	9.2	6.4	1.30	0.91
1999	$6.38	$3.98	$0.68	$4.23	$1,456	$586	9.4	5.9	1.51	0.94	7.7	5.9	1.06	0.81
2000	$8.59	$4.03	$0.98	$5.19	$1,814	$634	8.8	4.1	1.66	0.78	7.0	4.5	1.06	0.68
2001	$11.00	$6.75	$1.38	$6.56	$2,208	$874	8.0	4.9	1.68	1.03	6.7	5.0	1.17	0.87
2002	$15.69	$7.79	$1.46	$8.04	$2,315	$1,020	10.8	5.4	1.95	0.97	8.3	5.4	1.46	0.95
2003	$18.46	$8.88	$1.72	$10.07	$2,758	$1,073	10.7	5.2	1.83	0.88	7.9	5.0	1.40	0.88
2004	$23.90	$18.42	$2.52	$12.83	$3,862	$1,147	9.5	7.3	1.86	1.44	6.8	5.6	1.30	1.07
2005	$58.25	$23.18	$4.78	$17.84	$5,793	$1,051	12.2	4.8	3.27	1.30	7.7	3.5	1.88	0.86
2006	$39.90	$22.67	$4.17	$22.12	$6,124	$1,323	9.6	5.4	1.80	1.03	5.9	3.8	1.29	0.83
2007	$35.35	$19.57	$0.22	$22.48	$4,647	$1,442	NA	NA	1.57	0.87	9.5	6.1	1.55	0.99
2008	$26.84	$16.04	($1.88)	$20.27	$1,499	$878	NA	NA	1.32	0.79	14.1	9.4	3.43	2.28
2009	$23.42	$14.26	($4.68)	$18.36	$950	$333	NA	NA	1.28	0.78	NA	NA	4.33	2.78
2010	$23.15	$16.02	($0.02)	$17.83	$1,495	$270	NA	NA	1.30	0.90	NA	NA	2.76	1.97
2011	$21.90	$13.75	$0.24	$18.06	$1,476	$389	NA	NA	1.21	0.76	NA	NA	2.76	1.83
2012	$36.43	$17.05	$2.87	$18.87	$1,883	$676	12.7	5.9	1.93	0.90	NA	NA	3.65	1.90
2013	$37.98	$29.73	$0.97	$20.00	$2,674	$1,243	39.3	30.8	1.90	1.49	NA	NA	2.97	2.43
2014	$39.55	$29.18	$1.83	$21.96	$3,912	$2,123	21.6	16.0	1.80	1.33	NA	17.1	2.42	1.93
2015	$41.88	$30.92	$1.97	$24.12	$4,171	$2,709	21.3	15.7	1.74	1.28	NA	16.6	2.50	2.02
2016	$38.06	$24.10	$2.17	$25.99	$5,170	$2,822	17.5	11.1	1.46	0.93	18.1	13.4	1.84	1.37
2017	$46.04	$27.06	$3.16	$28.44	$5,815	$2,643	14.6	8.6	1.62	0.95	15.2	10.5	1.80	1.24
2018	$52.54	$28.93	$4.85	$32.15	$7,143	$2,375	10.8	6.0	1.63	0.90	12.4	8.1	1.47	0.96
2019	$41.22	$29.94	$4.03	$35.74	$7,224	$2,426	10.2	7.4	1.15	0.84	10.6	8.6	1.17	0.94
2020	$49.83	$13.80	$3.40	$38.29	$7,078	$2,462	14.6	4.1	1.30	0.36	13.3	6.3	1.27	0.60
2021	$67.65	$41.18	$6.63	$43.32	$8,790	$2,108	10.2	6.2	1.56	0.95	9.5	6.5	1.21	0.83
2022	$74.61	$40.28	$10.90	$53.19	$10,276	$1,805	6.8	3.7	1.40	0.76	6.6	4.1	1.03	0.64
2023	$83.83	$41.48	$12.36	$63.25	$9,995	$1,647	6.8	3.4	1.33	0.66	5.9	3.4	1.10	0.63
2024	$159.58	$70.71	$15.01	$75.42	$10,847	$1,420	10.6	4.7	2.12	0.94	8.3	4.0	1.67	0.81
2025	$167.80	$90.50	$13.49	$85.48	$10,967	$1,379	12.4	6.7	1.96	1.06	9.7	5.6	1.65	0.95
Average:							***13.3***	***8.0***	***1.76***	***1.01***	***9.6***	***7.1***	***1.83***	***1.23***
Midpoint of Avg							***10.6***		***1.39***		***8.4***		***1.53***	
2000-2021 Midpoint Avg							***11.5***		***1.32***		***9.0***		***1.70***	
2026E	**$160.00**	**02/18/26**	**$13.50**	**$ 95.59**	**$11,176**	**$1,218**		**11.9**		**1.67**		**9.7**		**1.48**
2027E	**$160.00**	**02/18/26**	**$16.22**	**$ 107.56**	**$12,333**	**$951**		**9.9**		**1.49**		**8.3**		**1.32**

: E - estimated.
: *P/TBV estimates are based on respective year end BV estimates.
: EBITDA - Earnings before interest, taxes, depreciation and amortization.
: Enterprise Value -- Market Capitalization plus Net Debt.
: PEG Ratio is the P/E divided by the trailing 3 years EPS growth rate.

Source: Wolfe Research, Company Reports, FactSet

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Exhibit 4 - TOL ROIC-ROE

TOLL BROTHERS INC.
RETURN ANALYSIS, 2014 - 2027E

dollars in millions	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E
RETURN ON INVESTED CAPITAL														
Net Income	$340	$363	$382	$535	$748	$590	$447	$834	$1,286	$1,372	$1,571	$1,346	$1,287	$1,498
Interest Expense (1)	$137	$143	$160	$173	$191	$185	$174	$187	$165	$139	$129	$118	$118	$134
Tax Rate	32.6%	32.2%	35.1%	34.2%	19.9%	25.0%	23.9%	24.2%	24.5%	25.5%	24.7%	24.8%	25.5%	25.6%
TOTAL	**$433**	**$460**	**$486**	**$649**	**$901**	**$729**	**$579**	**$975**	**$1,411**	**$1,476**	**$1,668**	**$1,435**	**$1,375**	**$1,598**
Avg. Net Debt	$2,123	$2,709	$2,822	$2,643	$2,375	$2,426	$2,462	$2,108	$1,805	$1,647	$1,420	$1,379	$1,218	$951
Avg. Shareholder's Equity	$3,594	$4,038	$4,226	$4,380	$4,646	$4,916	$4,974	$5,085	$5,651	$6,402	$7,234	$7,971	$8,538	$9,149
TOTAL	**$5,716**	**$6,748**	**$7,048**	**$7,023**	**$7,021**	**$7,342**	**$7,436**	**$7,193**	**$7,456**	**$8,049**	**$8,654**	**$9,350**	**$9,755**	**$10,100**
ROIC	**7.6%**	**6.8%**	**6.9%**	**9.2%**	**12.8%**	**9.9%**	**7.8%**	**13.6%**	**18.9%**	**18.3%**	**19.3%**	**15.3%**	**14.1%**	**15.8%**
RETURN ON EQUITY														
Operating Margin X	10.7%	11.6%	9.7%	11.4%	11.5%	10.0%	8.6%	11.9%	15.0%	17.7%	19.4%	16.3%	14.6%	15.3%
Interest Impact X	120.7%	111.0%	116.9%	123.0%	113.7%	108.9%	96.8%	105.1%	110.5%	104.2%	99.3%	100.3%	106.0%	106.3%
Tax Impact X	67.4%	67.8%	64.9%	65.8%	80.1%	75.0%	76.1%	75.8%	75.5%	74.5%	75.3%	75.2%	74.5%	74.4%
Asset Turnover =	*0.51*	*0.47*	*0.55*	*0.61*	*0.73*	*0.69*	*0.65*	*0.78*	*0.86*	*0.81*	*0.84*	*0.79*	*0.76*	*0.81*
ROA X	**4.5%**	**4.1%**	**4.0%**	**5.6%**	**7.6%**	**5.6%**	**4.1%**	**7.4%**	**10.8%**	**11.1%**	**12.1%**	**9.7%**	**8.8%**	**9.8%**
Leverage =	*2.12*	*2.18*	*2.24*	*2.19*	*2.12*	*2.14*	*2.20*	*2.22*	*2.11*	*1.94*	*1.79*	*1.75*	*1.72*	*1.67*
ROE	**9.5%**	**9.0%**	**9.0%**	**12.2%**	**16.1%**	**12.0%**	**9.0%**	**16.4%**	**22.8%**	**21.4%**	**21.7%**	**16.9%**	**15.1%**	**16.4%**

(1) Interest expense includes capitalized interest amortized to cost of sales.

Source: Wolfe Research, Company Reports

Exhibit 5 - TOL Balance Sheet

TOLL BROTHERS INC.
Select Balance Sheet Data
(Dollars in Millions, except Per Share Data)

	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E
Assets														
Cash and Equivalents	$617	$946	$665	$715	$1,182	$1,286	$1,371	$1,638	$1,347	$1,300	$1,303	$1,259	$1,582	$1,793
Inventory	$6,490	$6,998	$7,354	$7,281	$7,598	$7,873	$7,659	$7,916	$8,733	$9,058	$9,713	$10,257	$10,563	$11,150
Goodwill	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
Other assets	$1,041	$1,065	$1,550	$1,448	$1,464	$1,669	$2,036	$1,983	$2,209	$2,169	$2,352	$3,003	$2,585	$2,698
Gross Deferred Tax Asset	$294	$230	$200	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
Deferred Tax Assets Reserve	-$44	-$31	-$32	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
Net Deferred Tax Assets	$250	$198	$167	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
Total Assets	**$8,398**	**$9,207**	**$9,737**	**$9,445**	**$10,245**	**$10,828**	**$11,066**	**$11,538**	**$12,289**	**$12,527**	**$13,368**	**$14,520**	**$14,730**	**$15,641**
Liabilities														
Debt	$3,291	$3,690	$3,565	$3,100	$3,548	$3,771	$3,810	$3,416	$3,181	$2,760	$2,683	$2,638	$2,638	$2,638
Accounts Payable	$1,247	$1,288	$1,936	$1,808	$1,928	$1,938	$2,329	$2,782	$3,086	$2,953	$2,998	$3,596	$3,427	$3,495
Total Liabilities	**$4,538**	**$4,978**	**$5,502**	**$4,908**	**$5,476**	**$5,709**	**$6,138**	**$6,197**	**$6,267**	**$5,714**	**$5,681**	**$6,234**	**$6,065**	**$6,132**
Equity	**$3,854**	**$4,223**	**$4,229**	**$4,531**	**$4,760**	**$5,072**	**$4,875**	**$5,295**	**$6,006**	**$6,797**	**$7,671**	**$8,271**	**$8,805**	**$9,493**
Noncontrolling Interest	$6	$6	$6	$6	$9	$47	$52	$45	$16	$16	$16	$15	$16	$16
Total Equity	**$3,861**	**$4,228**	**$4,235**	**$4,537**	**$4,769**	**$5,119**	**$4,927**	**$5,340**	**$6,022**	**$6,813**	**$7,687**	**$8,286**	**$8,820**	**$9,509**
Total Liabilities and Equity	**$8,398**	**$9,207**	**$9,737**	**$9,445**	**$10,245**	**$10,828**	**$11,066**	**$11,538**	**$12,289**	**$12,527**	**$13,368**	**$14,520**	**$14,885**	**$15,641**
Equity	$3,854	$4,223	$4,229	$4,531	$4,760	$5,072	$4,875	$5,295	$6,006	$6,797	$7,671	$8,271	$8,805	$9,493
- Goodwill	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
+ Deferred Tax Asset	$44.00	$31	$32	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
	$3,898	**$4,254**	**$4,261**	**$4,531**	**$4,760**	**$5,072**	**$4,875**	**$5,295**	**$6,006**	**$6,797**	**$7,671**	**$8,271**	**$8,805**	**$9,493**
Adjusted Book Value Per Share	**$21.96**	**$24.12**	**$25.99**	**$28.44**	**$32.15**	**$35.74**	**$38.29**	**$43.32**	**$53.19**	**$63.25**	**$75.42**	**$85.48**	**$95.59**	**$107.56**

Source: Wolfe Research, Company Reports

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Exhibit 6 - TOL Cash Flows

TOLL BROTHERS INC.
CASH FLOW SUMMARY 2014-2027E

($ in millions except per share data.)	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E
Net Income	$340	$363	$382	$535	$748	$590	$447	$834	$1,286	$1,372	$1,571	$1,346	$1,287	$1,498
Depreciation & Amortization	$23	$24	$23	$25	$25	$72	$69	$76	$77	$76	$81	$82	$66	$67
Other operating activities	$57	$91	$23	$140	$30	$140	$188	$67	($23)	$0	$0	$0	$0	$0
(Increase)/Decrease in inventories	($272)	($352)	($391)	$130	($144)	($40)	$353	($196)	($619)	($324)	($655)	($545)	($306)	($587)
Other Working Capital Changes	$151	($67)	$112	$31	($71)	($324)	($48)	$523	$265	$34	($5)	$159	$1	$9
Net Cash from Operating Activities	**$299**	**$59**	**$149**	**$862**	**$588**	**$438**	**$1,008**	**$1,303**	**$987**	**$1,158**	**$992**	**$1,043**	**$1,048**	**$986**
Capital expenditures	($15)	($9)	($28)	($29)	($28)	($87)	($110)	($67)	($72)	($75)	($75)	($75)	($75)	($75)
Return of invstmt/(Invstmt in) unconsol. entiti	($39)	($84)	($22)	$73	$106	$91	($72)	($222)	($227)	$0	$0	$0	$0	$0
Other CF from investing activities	($1,438)	$39	$58	($52)	$4	($80)	$3	$285	$145	$0	$0	$0	$0	$0
Net Cash from Investing Activities	**($1,492)**	**($55)**	**$8**	**($8)**	**$81**	**($76)**	**($178)**	**($4)**	**($153)**	**($75)**	**($75)**	**($75)**	**($75)**	**($75)**
Debt Borrowings (Repayments)	$786	$342	($59)	($615)	$337	$21	($86)	($561)	($461)	($420)	($77)	($45)	$0	$0
Equity Proceeds	$256	$41	$7	$66	$13	$17	$25	$10	($1)	$0	$0	$0	$0	$0
Share Repurchase	($91)	($57)	($393)	($291)	($503)	($234)	($634)	($378)	($543)	($566)	($628)	($652)	($650)	($700)
Other	$0	($1)	$3	$0	$0	$0	($2)	($5)	($26)	$0	$0	$0	$0	$0
Dividends				($39)	($62)	($64)	($57)	($77)	($89)	($92)	($88)	($98)	($103)	($109)
Net Cash from Financing Activities	**$952**	**$325**	**($442)**	**($878)**	**($214)**	**($259)**	**($753)**	**($1,011)**	**($1,120)**	**($1,078)**	**($793)**	**($794)**	**($753)**	**($809)**
Inc (Dec) in Cash & Eq	**($241)**	**$329**	**($285)**	**($24)**	**$455**	**$103**	**$77**	**$288**	**($286)**	**$5**	**$124**	**$174**	**$220**	**$102**
Beg Year Cash & Equivalents	$858	$617	$919	$785	$761	$1,216	$1,320	$1,397	$1,684	$1,399	$1,404	$1,528	$1,702	$1,922
Cash & Equivalents, End of Year	**$617**	**$919**	**$634**	**$761**	**$1,216**	**$1,320**	**$1,397**	**$1,684**	**$1,399**	**$1,404**	**$1,528**	**$1,702**	**$1,922**	**$2,024**
Average Shares	186	185	176	169	154	147	131	126	118	111	105	100	95	92
Year End Cash & Eq Per Share	**$3.32**	**$4.98**	**$3.60**	**$4.49**	**$7.89**	**$9.01**	**$10.64**	**$13.39**	**$11.85**	**$12.65**	**$14.59**	**$17.05**	**$20.15**	**$21.92**
EBIT	$418	$483	$504	$662	$821	$723	$606	$1,047	$1,541	$1,768	$2,100	$1,787	$1,630	$1,892
Noncash Sources	$23	$24	$23	$25	$25	$72	$69	$76	$77	$76	$81	$82	$66	$67
Total EBITDA	$441	$506	$527	$687	$847	$795	$675	$1,124	$1,618	$1,845	$2,181	$1,869	$1,695	$1,959
EBITDA Per Share	**$2.37**	**$2.74**	**$2.99**	**$4.06**	**$5.49**	**$5.43**	**$5.14**	**$8.93**	**$13.72**	**$16.62**	**$20.83**	**$18.73**	**$17.78**	**$21.22**
Net Income	$340	$363	$382	$535	$748	$590	$447	$834	$1,286	$1,372	$1,571	$1,346	$1,287	$1,498
Noncash Sources	$23	$24	$23	$25	$25	$72	$69	$76	$77	$76	$81	$82	$66	$67
Total Gross Cash Flow	$363	$387	$405	$561	$773	$662	$515	$910	$1,363	$1,449	$1,652	$1,429	$1,353	$1,565
Gross Cash Flow Per Share	**$1.95**	**$2.09**	**$2.30**	**$3.31**	**$5.02**	**$4.52**	**$3.93**	**$7.23**	**$11.56**	**$13.05**	**$15.78**	**$14.32**	**$14.18**	**$16.95**
Total Gross Cash Flow	$363	$387	$405	$561	$773	$662	$515	$910	$1,363	$1,449	$1,652	$1,429	$1,353	$1,565
Capital Expenditures	($15)	($9)	($28)	($29)	($28)	($87)	($110)	($67)	($72)	($75)	($75)	($75)	($75)	($75)
Dividends	$0	$0	$0	($38,587)	($61,704)	($63,641)	($56,588)	($76,623)	($88,901)	($92,136)	($87,939)	($97,783)	($102,791)	($109,468)
Total Free CF (before RE)	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
Chng in Real Estate	($272)	($352)	($391)	$130	($144)	($40)	$353	($196)	($619)	($324)	($655)	($545)	($306)	($587)
Total Free CF (after RE)	($272)	($352)	($391)	$130	($144)	($40)	$353	($196)	($619)	($324)	($655)	($545)	($306)	($587)
FCF Per Share (after RE)	**($1.46)**	**($1.91)**	**($2.22)**	**$0.77**	**($0.93)**	**($0.27)**	**$2.69**	**($1.56)**	**($5.25)**	**($2.92)**	**($6.26)**	**($5.46)**	**($3.21)**	**($6.36)**

Working Capital Change is defined as change in Accounts Receivable plus change in Inventories less change in Accounts Payable.
Noncash Sources is defined as Depreciation and Amortization.
Dividends are actual cash paid.

Source: Wolfe Research, Company Reports

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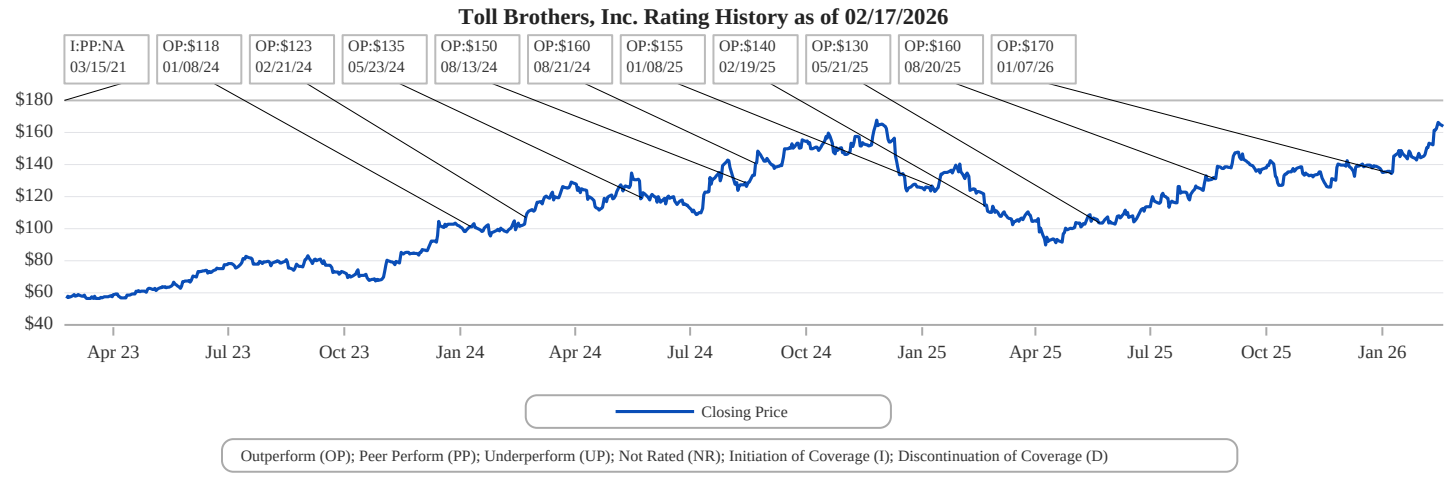

Wolfe Research, LLC Fundamental Valuation Methodology:

Company:	Fundamental Valuation Methodology:
Toll Brothers, Inc.	We value TOL on a NTM P/BV Multiple.

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